

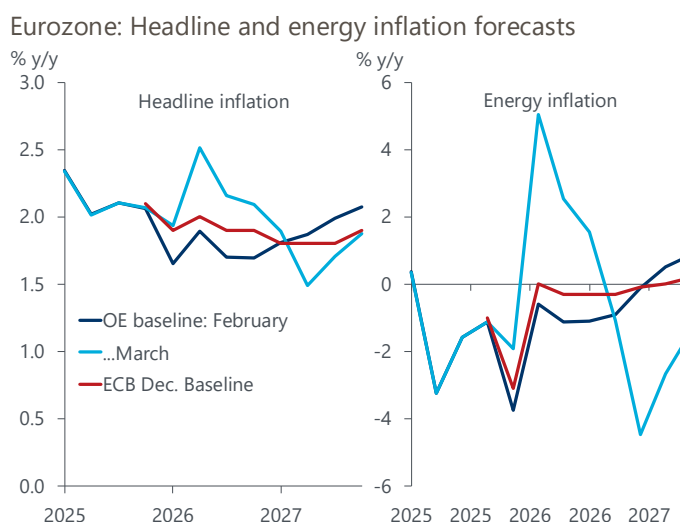
Research Briefing | Eurozone

A repeat of 2022 is a fear, but not the ECB's new baseline

- **The ECB will stay put in March. The economic backdrop is vastly different than when the energy crisis hit in 2022. Although the risk of a longer conflict causing more a material hit to growth and lift to underlying price pressures has increased, the situation is too unpredictable and volatile to justify a pre-emptive policy move especially with inflation at target.**
- **The ECB will still likely adjust its rhetoric. While policy may still be "in a good place", the council will need to acknowledge upside risks to inflation and downside to growth amid increased odds of rate hikes. A renewed emphasis on medium-term inflation forecasts and underlying inflation trends is also likely to downplay the likely jump in headline inflation in the near-term.**
- **Early indications are that the ECB won't be dragged into action by superficial similarities to the 2022 energy crisis. But a strong fiscal response, a bounce in consumer inflation expectations or the emergence of non-energy supply disruptions could easily change the council's deliberations, if signs of a prolonged energy price spike emerge.**
- **Our ECB view remains unchanged. We expect policy rates to be stuck at neutral at least through this year. However, our risk assessment has reversed, and we now see risks firmly tilted towards policy tightening. One to two 25bps rate hikes this year are a plausible range that may balance the council's wish to keep a lid on inflation expectations and cap second-round effects on inflation while limiting the drag on financing conditions.**

The ECB council will face a very different macroeconomic backdrop at next week's meeting compared to the previous one. Rather than discussing the scale and duration of this year's undershoot of the inflation target, the energy price shock stemming from Israel's and the US war in Iran is bound to lift inflation above 2% in 2026 (**Chart 1**), but the duration of the energy supply disruptions as well as the scale of second-round effects will determine the ECB's policy response. The level of volatility and uncertainty as well as the assumed temporary nature of the shock mean that a pre-emptive rate hike next week is off the table and that the ECB will argue for the need for more data. But the council will likely acknowledge that rate hikes are now more likely than cuts and warn that signs of extended energy supply disruptions or second-round effects could warrant a policy response.

Chart 1: Inflation is set to spike higher in the near term



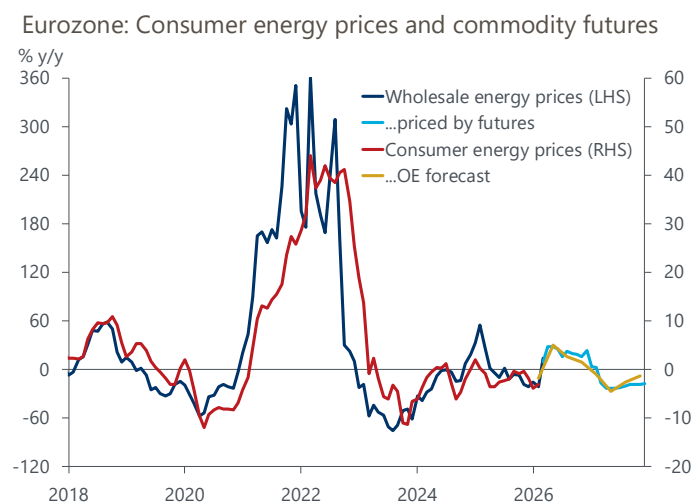
Sources: Oxford Economics, Haver Analytics

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Inflation looks set to spike above 2.5% in Q2

The ECB council's immediate concern will be the scale of the initial inflation shock. We think that a spike in consumer energy prices led by jumps in diesel and petrol prices could lift headline inflation to over 2.5% in Q2 followed by a gradual fallback. The impact on gas and electricity prices will be more muted and delayed as consumers often rely on contracts with fixed prices, although there are stark differences to that across countries. In our current baseline, inflation would then temporarily undershoot 2% next year as falling consumer energy prices drag headline inflation lower. Our energy price assumptions are more moderate than what commodity futures are pricing (**Chart 2**) but also see only temporary energy supply disruptions.

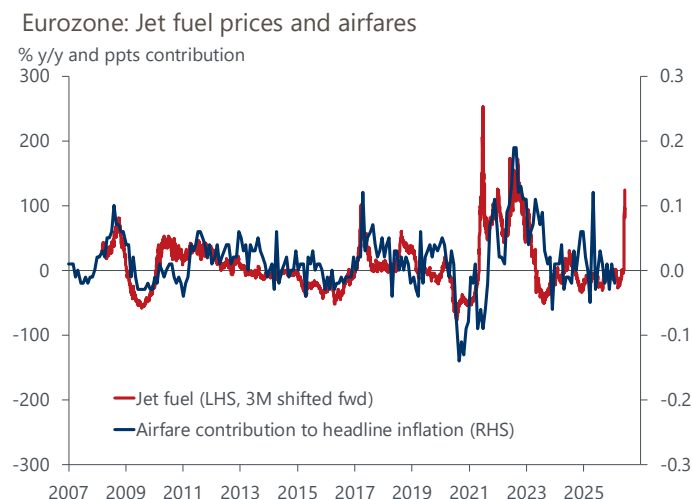
Chart 2: Our energy inflation forecast broadly aligns with commodity futures



Sources: Oxford Economics, Haver Analytics

The temporary nature of the inflation spike also means that the passthrough to other parts of the consumer basket should remain muted. For instance, while we raised our inflation forecast for this year by 0.5ppts to 2.2%, we see core inflation at 2.2%, up only 0.1ppts. The most immediate passthrough is likely for energy-intensive services such as transport services. The spike in jet fuel prices alone would suggest that higher airfares could add 0.1ppts to core inflation over the coming months (**Chart 3**). This doesn't account for the supply disruption from key airline hubs in the Middle East being shuttered. We have not budgeted in significant wider cost-passthrough or supply shocks to consumer goods prices at this stage. We also don't think that the brief inflation spike, we currently assume, would result in notable wage gains.

Chart 3: Core inflation will see some upward pressure even absent second-round effects



Sources: Oxford Economics, Haver Analytics, Refinitiv

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We assume that the shock will prove temporary, which means that the economic fallout is centred on inflation, with limited damage to economic activity. So by and large, we think of this as a real income shock that will temporarily drag on consumer spending. This means that hit to our [global](#) and [Eurozone](#) growth forecasts is limited.

Notionally, the ECB council will receive the latest batch of staff forecasts at the March meeting. However, the typical cut-off point for energy price assumptions predates the war in Iran. Executive board member [Isabel Schnabel](#) said that staff forecasts would "partially" reflect the impact from energy supply disruptions. This suggests that staff may have updated the assumptions during the lengthy forecast process and makes it hard to know, what numbers the council will look at. However, given the volatile and uncertain outlook, forecasts will be stale on arrival either way, and the council is unlikely to put much weight on them. Instead, a greater emphasis on energy price scenarios is likely.

The latest communication from ECB council members suggests that there is general support for a wait-and-see approach as time-limited disruptions look like the most likely scenario at this stage. This also means that the council's best guess of the most likely growth and inflation impacts shouldn't be radically different than ours.

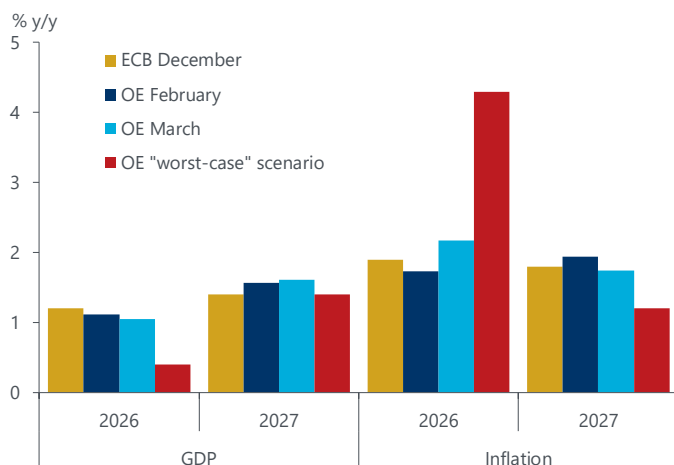
A repeat of 2022 looks unlikely for now, but there are three key risks to watch

The risks are skewed towards a more inflationary scenario with prolonged disruptions to energy supply and higher-for-longer energy prices, though. This is what is likely to play a much bigger role in the council deliberation than the currently most likely scenario. Commodity markets have increasingly bid up the prices for future contracts at the end of this year. The move isn't dramatic as of now. We had similar prices levels at various points in 2024 and 2025.

However, a much more adverse scenario could unfold the longer the war drags on. We have created a plausible "[worst-case](#)" scenario for the global economy, in which the Eurozone economy would come to a standstill and GDP might see mild contractions in some quarters ([Chart 4](#)).

Chart 4: Inflation could spike above 4% and economy could see mild contractions in an adverse scenario

Eurozone: GDP and inflation forecasts



Sources: Oxford Economics, Haver Analytics

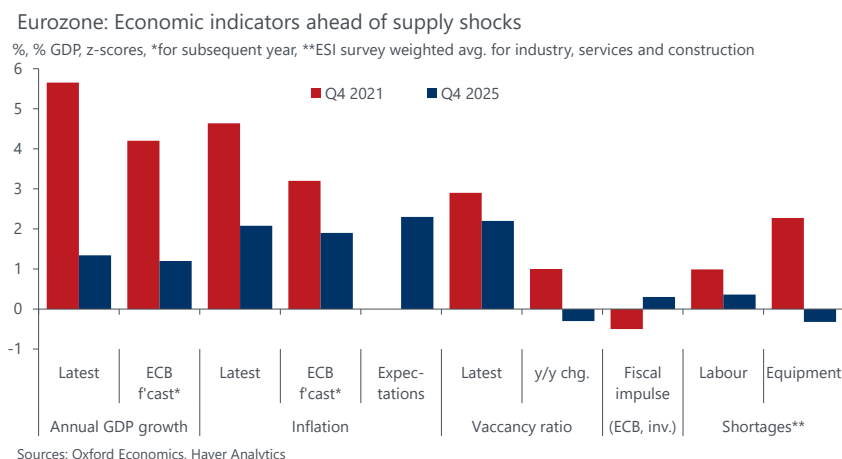
A key point of discussion for the ECB council will be, how [monetary policy](#) should react to a large, [adverse supply shock](#). The old mantra that central banks are likely to look through the inflationary effects of energy price shocks no longer applies, at least not everywhere. The new central bank playbook is to lean against risks that energy price shocks feed through to inflation expectations, and to adopt a robust approach that seeks to avoid major policy errors in a range of plausible outcomes. This is certainly what the ECB has been preaching over the last years, including in its updated monetary policy strategy.

Monetary policy tightening in response to adverse supply shocks is still not a forgone conclusion, though. It will depend on the council's judgement of how likely significant second round effects on inflation expectations and underlying inflation dynamics. From that perspective, the current macroeconomic

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backdrop is less prone to trigger worrisome dynamics compared to the situation just before Russian's war in Ukraine (**Chart 5**). Monetary policy is neutral now, while it was accommodative back then. Outside of Germany, fiscal policy isn't easing. And we aren't in a situation where the post-pandemic rebound and strained supply chains resulted in strong upward pressure on inflation. Instead, we are in a situation, where the economy was on course to see underlying inflation slowing towards target amid soft labour markets. This means that firms won't as easily be able to passthrough cost increases and may have to take a hit to their already thin margins. And while unemployment is at a record-low, employment growth has been trending down recently, and we were headed for a job-poor recovery as firms were trying to rebuild profitability.

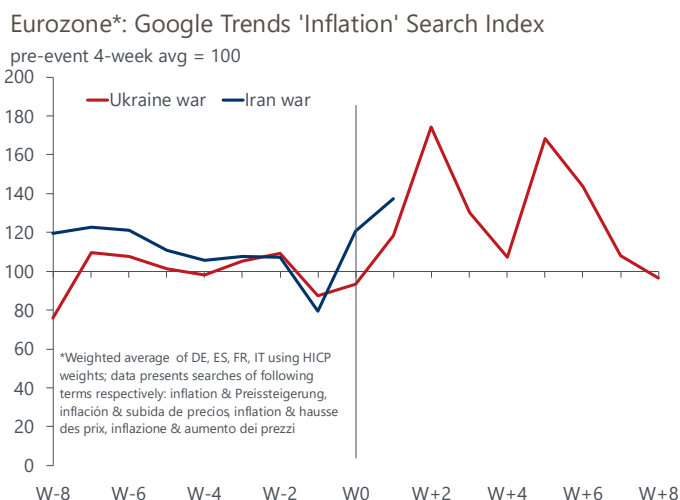
Chart 5: Economy is less prone to generate strong inflationary pressures than in 2022



Sources: Oxford Economics, Haver Analytics

Nonetheless, there are three key risks the ECB will be mindful of and which could see the council opt for some policy tightening. A significant rise in consumer inflation expectations is top of mind as that could result in increased underlying price pressures even if the energy shock were to pass quickly. We will discuss this in an upcoming report showing that consumer expectations, corporate price setting plans and market pricing of inflation risks all exhibit signs of responding more quickly to energy price shocks in the post-Covid world. There are no updated surveys yet, but people's online searches play into the logic that expectations are now more responsive not least because the last energy shock hasn't been that long ago, which raises the odds of a scarring effect (**Chart 6**).

Chart 6: Are consumer inflation expectations more responsive now?



Sources: Oxford Economics, Haver Analytics

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The ECB's second concern will be fiscal policy. In the ECB's view, the strong and often untargeted fiscal policy response to the energy crisis in 2022 amplified the initial inflation shock. So far, the announced and discussed [measures](#) look too limited to fall into that category. However, the speed with which the policy discussion has shifted in that direction and the again often untargeted nature of the discussed support suggests that the necessary energy demand destruction may be dampened, letting inflation pressures leak into the rest of the economy.

The third concern is about the possible emergence of non-energy supply disruptions. Transport routes between Asia and Europe have already taken a bit of a hit and shipping costs are on the rise. Moreover, there is [scattered evidence](#) that product markets will be impacted by Middle Eastern refineries going offline of being prevented from exporting their products. Wider supply constraints were a key issue back in 2022.

For now, all these three key issues seem to be contained enough, that they won't factor into the ECB's immediate policy decision.

Will they or won't they hike?

We think that a pre-emptive rate hike is clearly off the table at next week's ECB meeting. As discussed, the economic backdrop is vastly different than when the energy crisis hit in 2022, so risks of second-round effects are lower. For now, a good case can be made for temporary spike in oil and gas prices with limited repercussions for underlying inflation trends. And most importantly, the situation is too unpredictable and volatile to justify moving now especially with inflation essentially at target. So, the option value of a wait-and-see approach is high. Most council members' comments broadly align with that assessment. Even the influential and fairly hawkish executive board member [Isabel Schnabel](#) argued that "policy remains in a good place", while calling for vigilance in the face of upside inflation risks. ECB president Christine Lagarde meanwhile said: "We won't rush into a decision because there is too much uncertainty, too much volatility." Only Slovakia's [Peter Kazimir](#) has clearly raised the issue of rate hikes saying they are "potentially closer than many people think."

In our baseline, the inflationary spike also remains short and contained enough to stick to our previous policy call that the deposit rate will stay stuck at the current 2% at least throughout this year.

The more important thing to watch at the March meeting is how the council presents the risks scenarios and whether it emphasises the growth hit or the inflation lift. The more the emphasis is on the latter, the more likely it becomes that the ECB will not look through the supply shock and instead tighten policy to offset or dampen second-round effects.

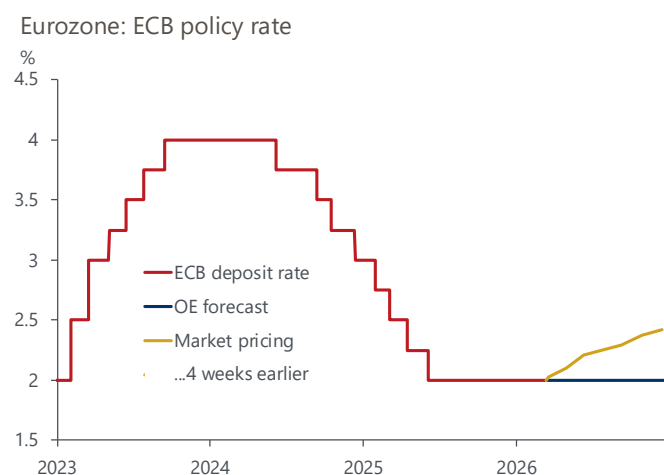
While we think that rhetoric will be hawkish with the ECB clearly emphasising that inflation risks are to the upside, we suspect that the message on the reaction function will be less clear. It is unlikely that a council consensus will be found already now given how unpredictable the situation is. Moreover, tighter financial conditions are already doing part of the ECB's job with markets pricing of up to two rate hikes by the end of the year. And this won't change much unless the council clearly sounds dovish.

So overall, we expect policy rates to be stuck at neutral at least through this year. However, our risk assessment has reversed from earlier in the year, and we now see risks firmly tilted towards policy tightening. One to two 25bps rate hikes are a plausible range that may balance the council's wish to cap second-round effects on inflation while limiting the drag on financing conditions.

Even a mild further deterioration in the outlook won't necessarily lead us to add rate hikes to our base case unless either the ECB rhetoric is extremely hawkish or we see clearer signs of inflation expectations rising. But should our baseline outlook shift significantly closer to the worst-case scenario described above, we would likely add two 25bps rate hikes, with the first hike likely in June alongside new ECB macro projections. This is broadly the scenario markets are currently pricing ([Chart 7](#)) given the more adverse inflationary impact suggested by energy futures.

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Chart 7: Markets now see risks clearly tilted towards higher policy rates this year



Sources: Oxford Economics, Haver Analytics